

Internal control Policy

History, Present Business and Background of D&B

With more than five decades of experience behind us, we at Dalal & Broacha, are today one of the leading Stockbrokers of India. The company is incorporated under the Companies Act, and is a member of the National Stock Exchange and BSE Ltd. (erstwhile Bombay Stock Exchange)- Mumbai as well as holds a seat on the National Stock Exchange on both the capital market as well as the derivatives segment. On the Institutional side we do business with most of the Indian Financial Institutions, the firm's satisfied client base is its main driving force.

Efficiency, integrity, and transparency in transaction have helped build trust, the raison dieter of the long-standing close customer relationships we cherish. Our customers rely completely on our principles of constant innovation and consistency of performance. In keeping with these principles, we have successfully serviced our diverse client base, which includes many Indian Financial Institutions, some Corporates, Banks, Mutual Funds as well as Foreign Institutional Investors. In addition, our customer base includes about seven thousand retail customers including Non-Resident Indians. We pride ourselves for being amongst the first to service the FII clients when the markets opened further in 1993.

Details of Internal Controls

1. Client Code Modification:

In compliance with the SEBI vide Circular No. CIR/DNPD/6/2011 dated July 05, 2011 and thereafter if any & Code of Conduct issued by the Exchanges for Stock Brokers, this policy containing the following guidelines has been formulated to ensure that:

a. Modification of client codes of non-institutional trades shall be done only to rectify genuine error in entry of client code at the time of placing / modifying the related order.

Changes in the client codes of non-institutional clients shall be done on the following criteria

- (a) Punching error / typing error of client codes
- (b) Trade entered for wrong client due to communication error/typing error etc.
- (c) Modifications within relatives
- (d) Allocation to related FPI

b. D&B shall inform the Exchanges on a daily basis by end of day, the reasons for modification based on the aforesaid objective criteria will be reported to exchanges as per exchange prescribed reason codes.

c. D&B shall not modify any client code in their back-office system.

d. Where the errors in the client codes do not fit into any of the above objective criteria, the trades will be transferred to our “Error Account”, which is being maintained only for such purposes and subsequently the trades in the “Error Account” will be liquidated in the market.

2. PMLA

(Copy of our PMLA policy enclosed)

3. Introduction/Registration of clients

- It is our policy not to entertain walk-in clients. We do not have a separate marketing division. We do not have any promotional scheme nor do we offer freebies such as free demat account etc., to the prospective clients. As a pre-cautionary measure, we entertain only the clients properly introduced by our remisiers/authorized persons/employees.
- We have In Person Verification (IPV) officers to meet the clients personally, collect and verify the copies of PAN card and other relevant documents with the originals. They also affix their signature, date and stamp on the KYC/ CKYC/KRA Form for having done “in person verification” and send the same to our Head Office.
- The client is also made aware of various risks involved, as he is asked to go through the Risk Disclosure Document. The client is then asked to put his signature as token of having received, read and understood the said Risk Disclosure Document.
- At Head Office, we have a full-fledged KYC department manned by experienced personnel. As soon as we receive the KYC/CKYC/KRA forms, the same are in-warded in a register kept in electronic form.
- Forms are then checked thoroughly for the following:
 - Checking of KYC/KRA / CKYC/FACTA forms, ID Proof and Address Proof along with Bank Proof.
 - In person verification
 - Verification of PAN on Income Tax website. A printout of the same is attached to KYC form.
 - Introducer details are monitored/verified. Nominee details filled and witnessed
 - Copy of the latest Bank statement / Passbook is verified for the last two months and taken on record.
 - Address proof as per specification of SEBI/Exchanges (any one of the following : Aadhaar Card, Passport, Voter Id, Driving License, Bank Passbook, Voter ID.
 - D.P. proof showing ownership of the client account.
 - Documents showing financial capability of the clients such as IT return, Networth Certificate issued by CA, Balance Sheet etc., are also taken from the clients.

- Signature of the client, wherever applicable and across the photograph.
 - Signature of the client is duly witnessed.
 - All proofs self-attested by the client
- Once all the above requirements are checked, the client's name is also checked on various websites such as www.nseindia.com and www.bseindia.com to verify whether the client is in the list of debarred entities. If clients' name is found in the debarred list, we reject the form and return it to the client. If client's name is found in the debarred list without PAN, we write to the client for clarification and obtain a declaration to this effect.
 - Unique Client Code is then allotted to the client.
 - The client details are fed into our system by our Executives and again the same are verified by a Senior Executive.
 - The details of the client are uploaded in the exchange for UCC and the same are also uploaded to KRA/CKYC and sent to KRA Department.
 - Welcome Letter is sent to the client along with xerox copies of the KYC documents. A copy of the welcome letter is also sent by email to the remisier/authorized person/employee, who introduced the client.
 - The client registration documents, after being scanned, are kept in our godown for safe-keeping. Scanned copies of the KYC form and all the documents attached therewith are also kept with us for easy retrieval.
 - Every year we send reminders to all the clients asking them to submit documents pertaining to their financial positions. As and when we receive the same, we update the clients' database.

4. Uploading of KYC documents to KRA/CKYC:

- The KYC Registration Agency (KRA) is CVL, NDML, Dotex.
- In order to implement **SEBI circular no CIR/MIRSD/66/2016 dated July 21, 2016** for operationalization of Central KYC Records Registry (CKYCR). In view of the above we have started uploading KYC data with CKYCR, in respect of all individuals accounts opened on or after August 1, 2016. As per Prevention of Money – Laundering (Maintenance of Records) Amendment Rules 2015 Rule 9(1A) we upload the client's KYC records with the Central KYC Registry before or within 7 days after the opening of account.

5. Funds:

- After the completion of the registration, we allow the client to trade. We continuously monitor their trading style for intraday trading as well as the outstanding, on daily basis. If the client's pay in and pay out position is normal and always prompt on performance, then we allow the client to increment their position.
- We maintain Separate Own Beneficiary Account and also Separate Client beneficiary account
- We also maintain Client wise segregation of securities.
- Clients' securities maintained D&B. The client is given margin exposure on the securities maintained (if requested by client).

- Securities are transferred only to the Beneficiary account of the client.
- We always ensure that client's securities are not utilized for own purposes or for the benefit of any other client.

6. BOLT Terminal

In case of allotment of new terminals, we are setting limits at AP level. In case of surrender of terminals, we map the clients to other terminals. We upload all terminal related information through UCC ADMIN INTERFACE and ENIT as per exchange procedure.

We are using BEST and Omneysys softwares, which are approved by the exchange at all locations. We procure the software from the companies and make it available to branch offices and AP's offices.

7. Contract Notes

- All operations are centralized in our Head Office and hence, Contract Notes, Daily Margin Statements and Quarterly Statements of Accounts are sent to all clients by our Head Office in physical as well as electronic format.
- The sending of these documents is not outsourced.
- Contracts and Daily Margin Statements are sent to the clients daily at the end of the day or within 24 hours, whichever is earlier.
- Quarterly/ Monthly Statements of Accounts are sent to the clients within 7 days from the date of settlement. In our website the account statements and other relevant updated reports are available at our website on daily basis and clients' can view/take printout from there.
- These documents are sent to the email IDs provided by the clients as per the client's preference.
- Log reports for sending these documents are maintained.
- If the client wants to change his email Id, we take a Modification Form duly filled in and signed by him.

8. Securities:

- Proper system of pay in and pay out of securities is maintained in the back office. Pay in and payout is done on T+1 basis. Mapping of Depository account with the client account is done at the time of opening account. Pay out of securities is done on regular basis as per ledger balance. The inter settlement of securities are done in the client beneficiary account and only after that the payout is made to the client.
- We maintain Separate Own Beneficiary Account and also Separate Client beneficiary account as well as CUSA accounts as per SEBI circular CIR /HO /MIRSD /DOP /CIR /P /2019/75 dated June 20, 2019 regarding Handling of Client's Securities by Clearing Members and Trading Members (CM/TM) to implement the aforesaid requirements:
 - To open separate 'Client Unpaid Securities Account' of CM/TM.
 - TM/CM, within one week of closure of existing client accounts are further required to inform the Stock Exchange/s the details in the format specified in the aforesaid SEBI circular.

- We also maintain Client wise segregation of securities.
- Client Securities pledged in the depository system are kept in separate Client Securities Margin Pledge Account
- Procedure for securities received in pay in are cross verified with the Beneficiary Owner ID/Client ID provided by client at the time of opening account and pay out also given to the same Beneficiary Owner ID/Client ID. No third party shares are accepted/transfer.
- We always ensure that client's securities are not utilised for own purposes or for the benefit of any other client.

9. Statements of Accounts & Daily Margin Statement

- Statement of accounts for funds and securities are issued on monthly/quarterly basis as per regulatory requirement.
- Yes the statement explains the retention of funds / securities and the details of the pledge.
- All operations are centralized in Head office and hence statements of accounts are issued from Head office only. The statements of accounts are issued in the soft copy and physical form and the log of the same are maintained.
- Statements of accounts are issued digitally. However on the request of the clients we issue the same physically.
- Daily margin statement is issued as per the format prescribed by the Exchanges. The same is sent to the client through Email and are available at website where client can view and take printout.

10. Monthly/Quarterly Settlement:

- In case of client wishes to have running account, prior approval while opening is taken. We settle all such accounts for funds and securities on monthly/quarterly basis as per client preference.
- We do not entertain any inter-client adjustments for the purpose of settlement of running account.
- While doing the settlement, we may retain Entire pay-in obligation of funds outstanding at the end of the day on settlement of running account, of T day & T-1 day, Margin liability as on the date of settlement of running account in all segments and additional margins (maximum upto 125% of total margin liability on the day of settlement). The margin liability shall include the end of the day margin requirement excluding the MTM and pay-in obligation. Hence we may retain 225% of the total margin liability in all the segments across exchanges.
- If no transaction is done in the 30 calendar days since the last transaction, the credit balance of client's account shall be returned within next three working days irrespective of the date when the running account was previously settled.
- Excess securities (in the form of margin pledge) or any cash equivalent collateral deposited with CC on behalf of me, after adjustment of the 225% of margin liability, need not be unpledged.

11. Execution of POA (Power of attorney) (if applicable) –

- POA is taken in the name of Company and not in the name of its Directors or Employees
- POA facility is being offered to every client and it is at the discretion of client whether to opt for it or not. Any changes thereon are informed to clients by adding addendum to POA.

- POA does not authorize employees or directors to operate client's bank / demat accounts.
- Once POA gets executed by client and is complete in all aspects, it is registered both in CDAS & back office software. Similarly, in case revocation of POA, it is removed from CDAS & back office so that POA cannot be used further.

12. Opening & closing of branches

During the period under inspection, no new branch has been opened or closed.

13. Closure of client accounts / dormant account

- The clients' accounts are closed at the written request of the clients.
- In case of dormant accounts, if there is a trade request, the dealers/AP ensures that the client has complied with all procedures & Re-KYC wherever required before placing order
- In case of transfer of clients from one branch to another, we take new KYC forms duly executed by the clients. We also take "No objection" letter from the old branch/AP, from whom the clients are transferred to the new branch/AP.

14. Receiving and Execution of Orders

- All trading operations are carried out by dealers under instructions from clients/AP / directors / branch-in-charge.
- Our dealers/AP/branches ensure that the orders are placed by the clients only.
- We take back-up of database for all front office and back office operations on regular basis & keep the same in safe custody.
- We have telephonic recording in our office to record orders placed by clients

15. Client Margin Information:

- Margin information is sent to the clients on daily basis
- It contains all the required information as prescribed in the circulars/guidelines.

16. Collection and reporting of margins

- We consider Ledger Balances across exchanges to verify / ensure that the margins reported are actually collected.
- In case of uncleaned cheques we rectify the margin file and re-upload the same. In such cases we may charge penalty to client.
- We are charging margins from our clients as per the SEBI/Exchanges directives
- D&B has only CM segment as active segment for trades.
- CLMG02 file is taken for details of margin

- VAR, ELM, Peel margin and M2M and any other margin as specified by regulators are collected from clients
- Clients may pledge the securities against the margin by creating a pledge in depository system in a specific demat account opened for the same i.e. Client Securities Margin A/C.
- For calculation purpose we take Ledger balance of CM segment plus collateral amount which includes shares valuation as on T-1 (Trading day minus 1 day).
- After deducting haircut of exchange, if client has any ledger credit balance in Cash segment we also consider the same while reporting to exchanges.

17. Portfolio Manager

- D&B also has SEBI registered Portfolio Manager Services (PMS)

1. CLIENT'S REGISTRATION:

- ✓ A copy of the Disclosure Document along with all other account opening Forms are provided to prospective clients
- ✓ The philosophy of the Fund Manager and the product is clearly explained to the client. We normally tell the clients to have a minimum time horizon of 3 years and above if they are considering investments.
- ✓ The fee structure as available in Schedule III is clearly explained to the client.
- ✓ A risk profile is also done to ensure suitability of the product.
- ✓ The PMS agreement and the Power of attorney is franked in the denomination of Rs.500. each
- ✓ The POA is executed in favor of the Portfolio Manager and the agreement is also executed by both the client and the Portfolio Manager.
- ✓ Once the account opening documents along with the KYC form along with proofs like PAN and AADHAR are received it is checked for its authenticity. The originals duly seen and verified.
- ✓ The Demat Form along with one set of KYC documents are sent to Dalal & Broacha Stock Broking Pvt. Ltd. for opening of the DEMAT account along with copy of the Power of Attorney and a schedule of fees duly received from the client
- ✓ Dalal & Broacha Stock Broking Pvt. Ltd. again follows the procedures of KYC and opens the DEMAT account in the name of the client if it is fully satisfied and there are no queries.
- ✓ A CML (Client Master) of the demat account opened in the name of the client is sent along with a confirmation mail regarding opening of the account.
- ✓ The information is sent to the client and the client funds his account either by issuing a chq or any electronic means.
- ✓ Once the account is funded with the minimum threshold of Rs.50 lakhs the PMS account is activated.

2. INVESTMENTS:

- a. All Investment decisions with respect to PMS are made by the CIO & FUND MANAGER.
- b. All investments are continuously reviewed by the CIO & Fund Manager and the Research officer.
- c. Detailed investment Notes are prepared before any funds are deployed.
- d. Quarterly results updates are prepared and investments reviewed.

3. OPERATION:

a. Execution:

- ✓ Once the stock for investment is decided the cash balances in individual client account is ascertained and proportionate investment based on cash balances and various other considerations like benchmark index sector weightages and individual client portfolio compositions etc are decided. The operations team provides the CIO & FM with the updated available cash balances on a daily basis. This is also updated during the day to account for any additional inflows or outflows.
- ✓ Once the investment decision at the client level is finalized the Fund Management team places order with the broker. We use the services of Dalal & Broacha Stock Broking Pvt. Ltd.
- ✓ Once the orders are executed the confirmation of the same is given by the broker to the Fund Management team and the Operations team
- ✓ Individual Script wise contract are issued by the broker to the PMS.
- ✓ On receipt of the contract the operations team prepare daily trade file instructions to be given to the custodian and fund accountant. This trade file captures the client wise allocation of the stocks purchased/ sale as predefined by the CIO&FM at the average price as per the contract note.
- ✓ Based on the instruction given the custodian debits the Bank account (in case of purchase) or Demat account (in case of sale) The trade is finally settled by the exchanges on T+0 day and makes pay-in to the exchange on T+1 day. The trade is finally settled by the exchanges on T+2 day.
- ✓ There is no provision for netting off buy and sell transactions for the PMS and each trade is settled separately.
- ✓ The fund accountant also records all the transactions and holdings and bank reconciliation is done by the Fund accountant on a daily basis.

4. CLIENT REPORTING:

- ✓ The client can view his account 24*7 as he is given access to the web portal which has all the details of his PMS account including performance, bank book, investment book, transaction statement, dividend statements, expense statement etc.
- ✓ Apart from the above all these statements are also mailed to the client on a monthly basis.
- ✓ The client also gets alerts of his transactions as his mobile number and email is mapped to the Demat accounts.

5. ACCOUNT CLOSURE

- ✓ Instructions for closure can be received either in physical form or by email from the registered email id of the client.
- ✓ On receipt of the same the client will be contacted for a confirmation.

- ✓ Post confirmation based on the instruction from the client either all thesecurities are sold and payment credited to the client account or the securities transferred to the client's demat account (as per instructions received).
- ✓ All closure formalities like closure of Demat account is also carried out simultaneously.
- ✓ Normally all formalities are completed within 7 working days from the receipt of intimation of closure.

6. GRIEVANCEREDRESEL:

- ✓ In case of any grievances the client could write to us at compliance.officer@dalal-broacha.com/ pms@dalal-broacha.com
- ✓ Complaints can also be registered with SEBI on the SCORES portal the link for which is available on our website
- ✓ None of the client of the TM is acting as a Portfolio Manager

18. Brokerage Charged

- Brokerage is charged within the limit prescribed by the Exchanges as agreed between us and the client.
- No brokerage scheme is provided to the clients expect as agreed upon.